MONETARY POLICY SINCE THE THE CRISIS

ECONOMICS LECTURE

OVERVIEW

STRUCTURE

01

INTRODUCTION

The Great Moderation and pre-crisis consensus

02

FINANCIAL CRISIS

The Great Recession, 2007-2010

03

POST-CRISIS ERA

Subsequent shocks and policy responses

04

IMPLICATIONS

Rethinking the monetary policy consensus

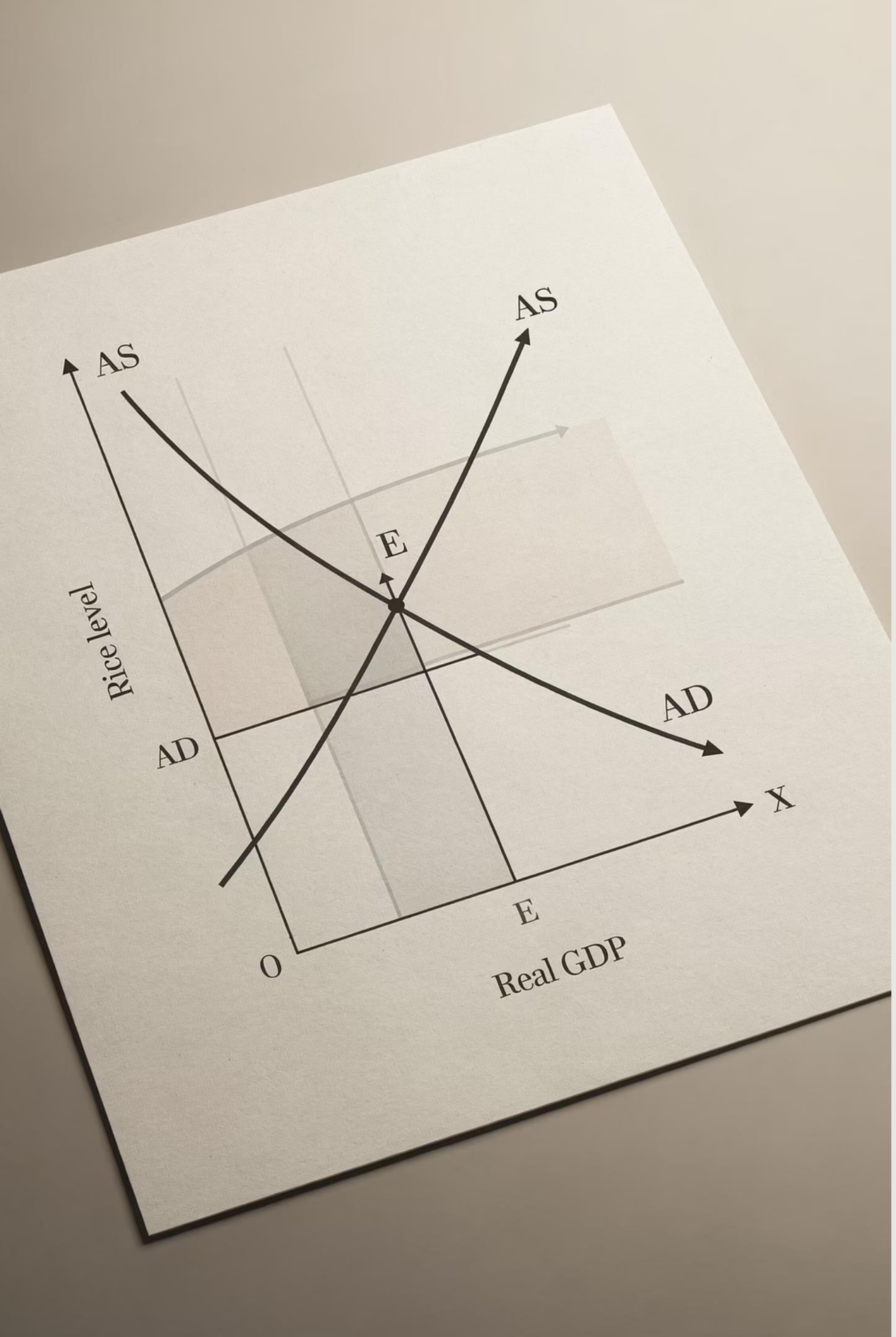
CHAPTER 1

THE GREAT MODERATION

1990S TO MID-2007

UK and advanced economies experienced steady economic growth (2%-4% annually) with inflation around 2%.

Credit given to central banks for using policy rates to target inflation effectively.



AS-AD ANALYSIS

When shocks arise on the AD side, using policy rates to keep prices stable also helps stabilise output.

1

AD SHOCK

Policy rate adjustment maintains price stability

2

OUTPUT STABILITY

Price stability supports output stability

THE AS-SIDE CHALLENGE

A conflict arises when shocks come from the AS side, such as negative labour productivity shocks.

Key Conflict: Price stability goals versus output stability goals

PRICE LEVEL RISES

Output decreases

CENTRAL BANK RESPONSE

Raises interest rates to control inflation

OUTPUT PRESSURE

Further downward pressure on output

FLEXIBLE INFLATION TARGETING

Recognising potential conflicts, central banks adopted flexible inflation targeting in practice.

PRIMARY GOAL

Keep inflation within target zone

FLEXIBILITY

Allows deviations to address other macroeconomic goals

EXPECTATION

Deviations believed to be few and short-lived

CHAPTER 2

THE FINANCIAL CRISIS EMERGES EMERGES

Starting in 2007, the Bank of England faced serious challenges to its inflation targeting regime.

EARLY WARNING SIGNS

BoE's *Financial Stability Report* (April 2007) predicted that increased risk-taking and sub-investment grade lending created threats to financial stability.

However, responsibility for financial stability had been transferred to the Financial Services Authority.

INSTITUTIONAL SEPARATION

Gordon Brown separated price stability (BoE) from banking oversight (FSA) to prevent conflicts of interest.

NORTHERN ROCK CRISIS

1 **SEPTEMBER 2007**

Northern Rock faces imminent collapse and bank run

2 **INITIAL RESPONSE**

Governor Mervyn King distances BoE from responsibility, citing separation of duties

3 **INTERVENTION**

BoE eventually provides up to £26 billion in support funding

TOUGH ANTI-INFLATIONARY STANCE

The BoE maintained a tough stance well into 2008, contrasting with other central banks.

US FEDERAL RESERVE

Started cutting rates September 2007

BANK OF ENGLAND

Maintained 5.75% rate until December 2007, then gradual cuts

RATIONALE

Fear that rising oil prices would trigger inflation (later proven unfounded)

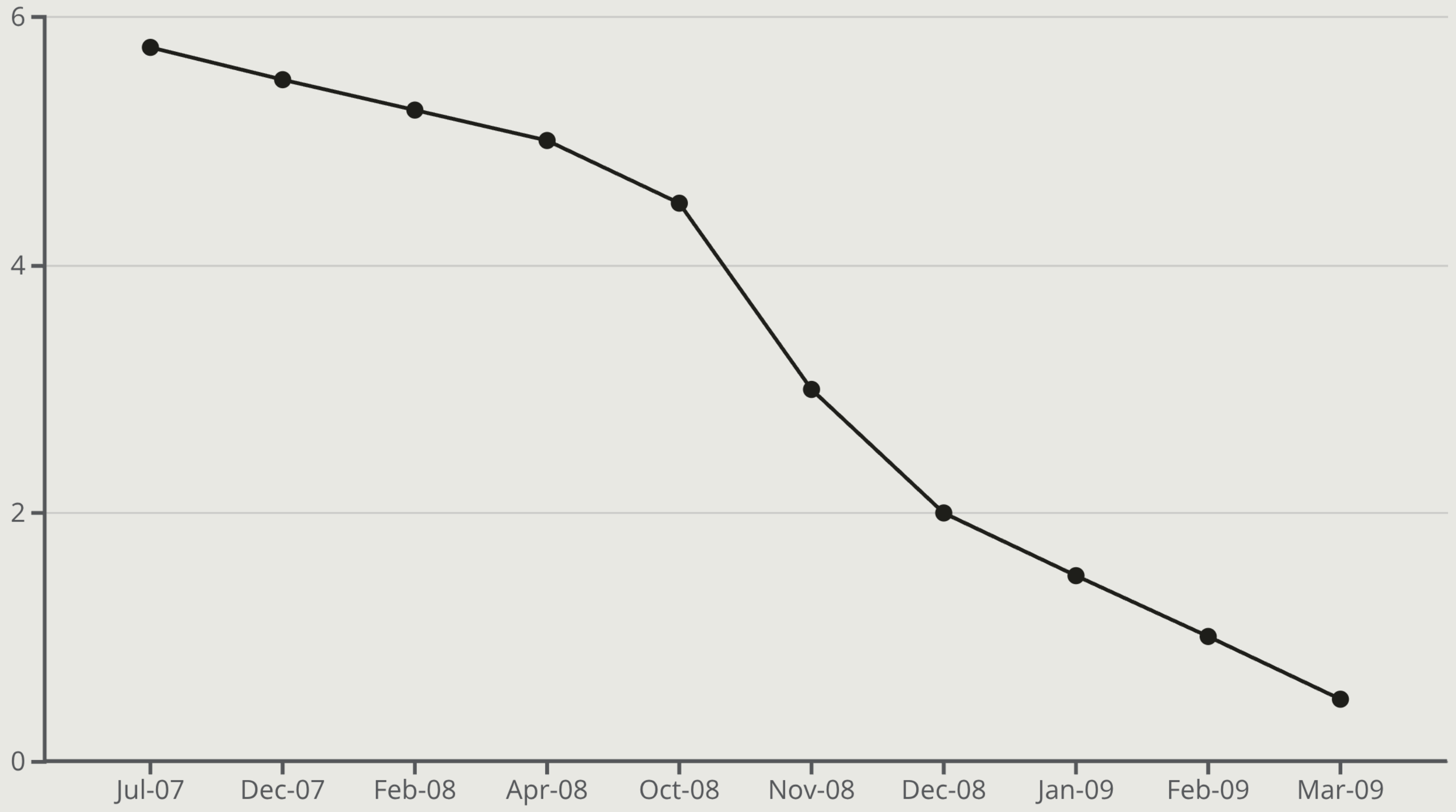
15 SEPTEMBER 2008

LEHMAN BROTHERS COLLAPSES

The collapse of this major US investment bank triggered the Great Recession.

Starting October 2008, BoE implemented a series of base rate cuts, eventually reaching 0.5% by March 2009.

BOE BASE RATE: JULY 2007–JUNE 2009



Sharp decline from 5.75% to 0.5% over 20 months, with most dramatic cuts in late 2008.

THE LOWER BOUND PROBLEM

Once interest rates approached zero, the economy failed to respond adequately.

Bank lending to the private sector remained stagnant despite ultra-low rates.

This necessity led to **Quantitative Easing (QE)**.

POLICY INNOVATION REQUIRED

New tools needed to inject further stimulus into the economy beyond conventional rate cuts.

KEY CONCEPT

QUANTITATIVE EASING DEFINED

QE refers to large-scale purchases of assets by the central bank to inject money into the economy.

DIRECT EXCHANGE

Assets exchanged between non-bank private sector and central bank

BYPASS BANKS

Circumvents banking sector busy de-leveraging after sub-prime collapse

SCALE

March 2009–January 2010: £200 billion purchased (14% of UK GDP)

QE MECHANICS

BoE's QE consists mainly of purchases of gilts (low-yield, long-maturity UK Treasury debt) and corporate bonds.

SECONDARY MARKETS

Bought from private investors, not directly from issuers

DIRECT CHANNEL

BoE provides funds to non-bank business sector

ASSET PURCHASE

Purchases long-maturity bonds from investment firms' portfolios

THREE TRANSMISSION CHANNELS

A. PORTFOLIO REBALANCING

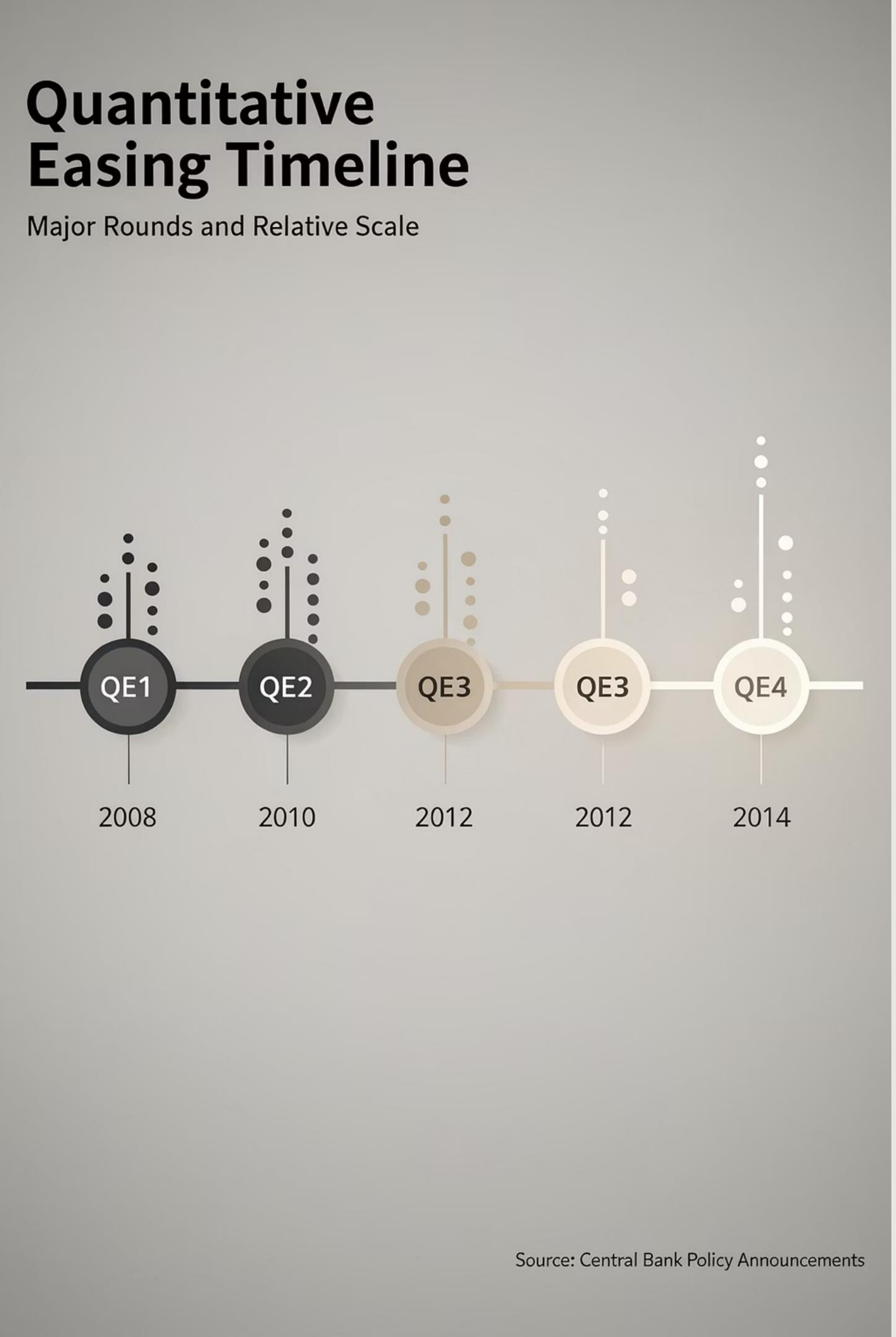
Gilt sellers rebalance portfolios by buying other securities, enabling corporate borrowers to obtain credit without banks.

B. SIGNALLING

Lowering long-term rates signals that policy rates will stay low over extended periods.

C. LIQUIDITY

BoE purchases increase marketability of long-term bonds during financial stress.



QE TIMELINE: 2009–2021

Five rounds of QE injected £895 billion into the economy, systematically supporting the interest rate channel throughout the 2010s.

KEY QE MILESTONES

2009: QE1

Initial £200bn asset purchases. Bank Rate: 0.50%

2011–2012: QE2 & QE3

£175bn additional purchases. Funding for Lending Scheme launched

2016: QE4

£70bn post-Brexit. Term Funding Scheme. Rate cut to 0.25%

2020: QE5

£450bn COVID response. Rate cut to 0.10%

SUSTAINED EXPANSIONARY POLICY

The BoE followed mainly expansionary monetary policy from 2009 to 2022: multiple QE rounds and low interest rates.

Moderate attempt to raise rates between Winter 2017 and Spring 2020, but reversed due to subsequent crises.

THREE FURTHER CRISES (2009–2022)

Euro-zone sovereign debt, Brexit, COVID-19

FOURTH CRISIS (2022–2024)

Cost-of-living crisis led to reversal of low rates

CHAPTER 3

POST-CRISIS DEVELOPMENTS

Examining movements in major macroeconomic variables for 2007–2024 in the UK economy.

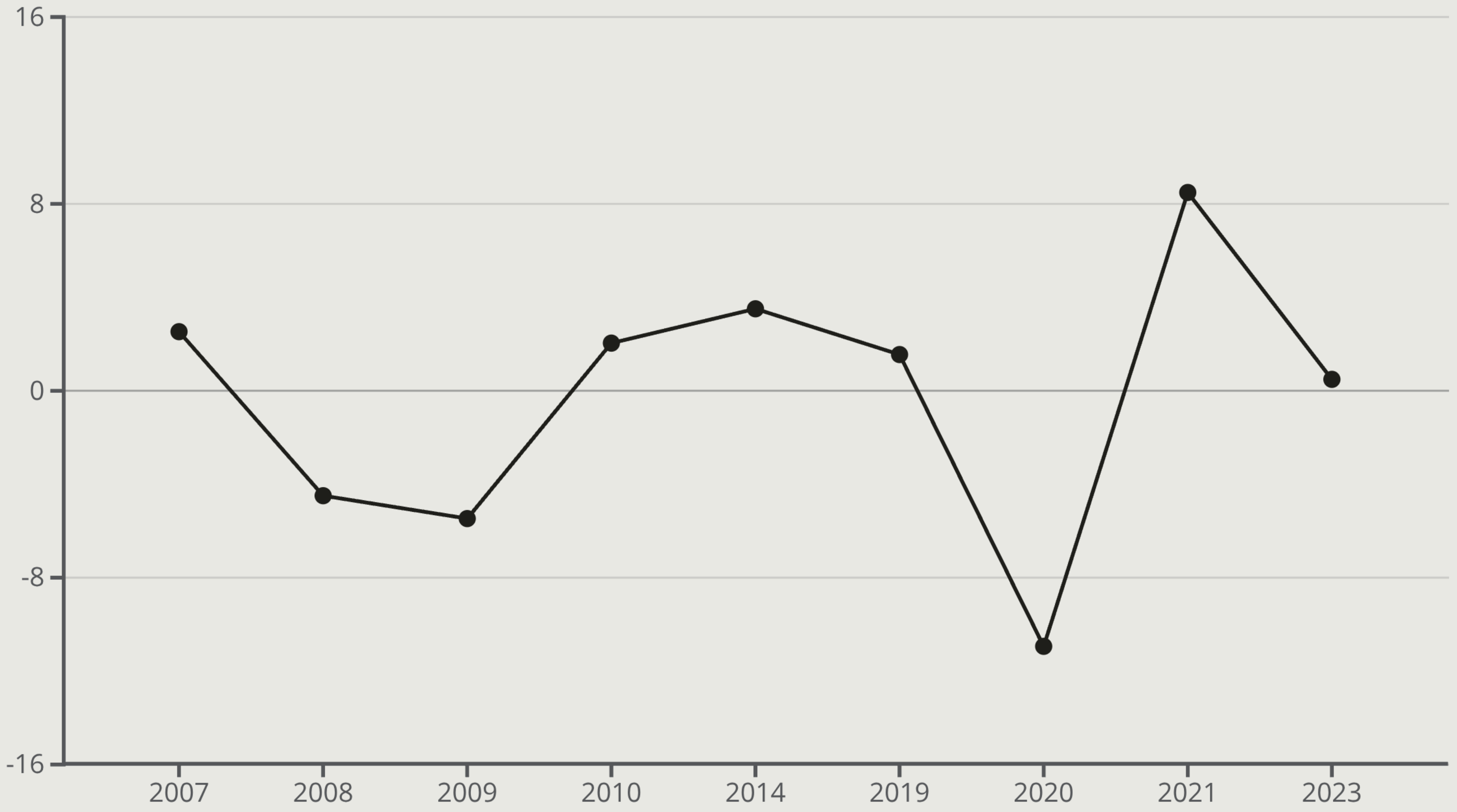
REAL GDP GROWTH

UNEMPLOYMENT RATE

CPI INFLATION

Source: Office of National Statistics (ONS)

REAL GDP GROWTH, 2007–2024



Sharp decline 2008–2009, recovery through 2014, sluggish 2017–2020, dramatic COVID contraction and recovery.

GROWTH PERFORMANCE ANALYSIS

2.9%

GREAT MODERATION

Average annual growth 1992–2007

2%

POST-CRISIS

Average annual growth 2010–2020

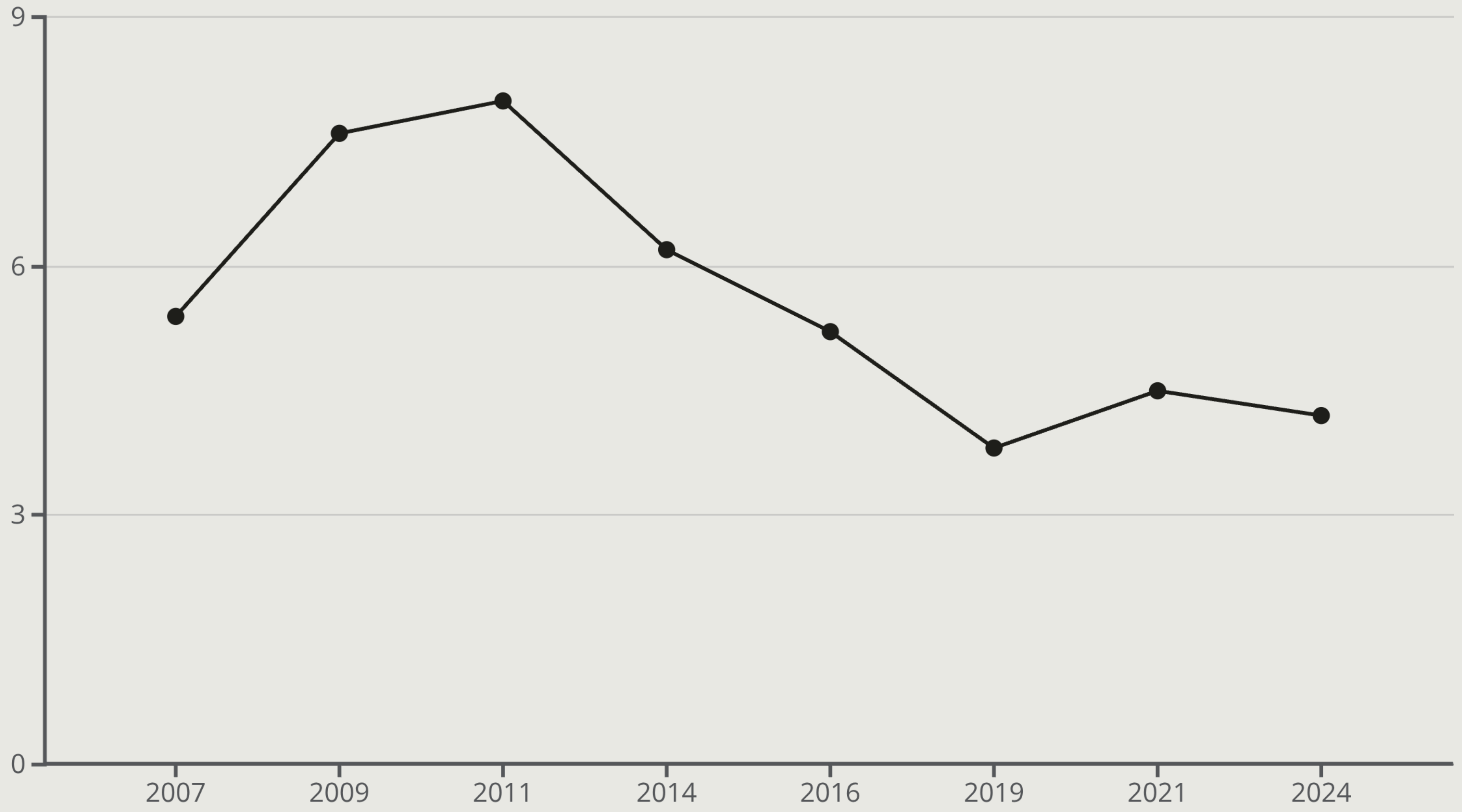
3.2%

PEAK RECOVERY

Growth rate in 2014

ONS recorded small "double-dip" recession 2010–2011, later revised to modest 1.1% growth.

UNEMPLOYMENT RATE, 2007–2024



Peaked at 8.0% in 2011, fell to historic low of 3.9% in December 2019.

THE LABOUR MARKET PUZZLE

Labour market recovered faster than growth performance. Unemployment fell below 7% in April 2014.

Even during pandemic, unemployment remained relatively stable due to furlough scheme.

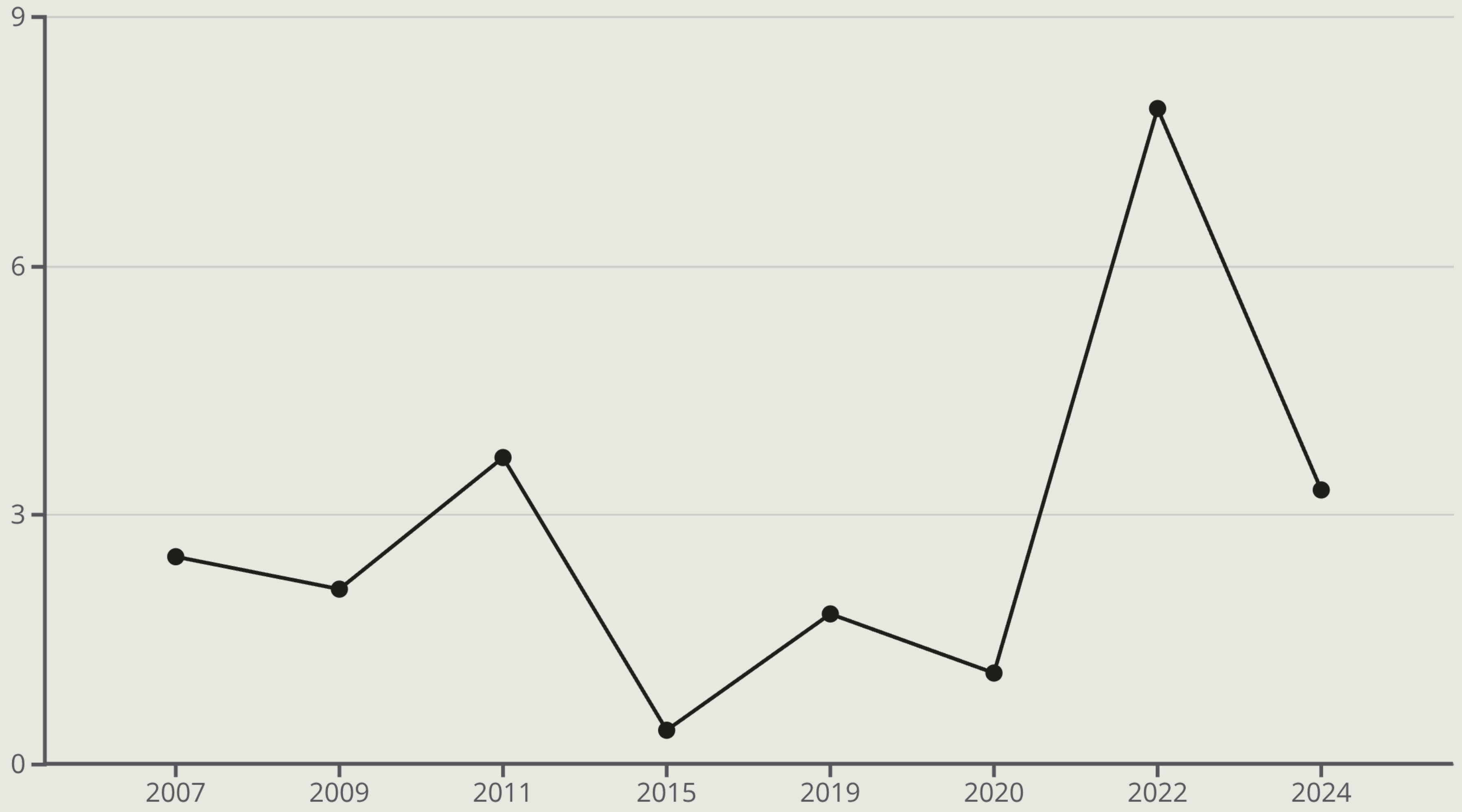
Great Moderation unemployment: 5%–10%. Post-2015: lower unemployment despite lower growth.

WHY LOW UNEMPLOYMENT?

Free-market view: Labour reforms weakened unions, encouraged hiring.

Critics: Expansion of low-pay, low-productivity, insecure jobs.

CPI INFLATION RATE, 2007–2024



Remained largely within 1%–3% target until 2022, then sharp spike to 7.9%.

INFLATION BREACHES: 2010–2022

Between 2010 and 2022, average annual inflation breached its 1%–3% target three times.

1

LATE 2007

Very brief spike from speculative rise in world oil prices

2

MID 2011–EARLY 2012

Supply-driven rise in oil prices

3

2015

Downward breach to 0.4% from weak demand and declining oil prices

None driven by expansionary monetary policy. Inflation remained within target until 2022.

CHAPTER 4

ADDITIONAL SHOCKS

Interpreting macroeconomic movements in light of additional shocks affecting the economy since the financial crisis.

A Euro-zone sovereign debt crisis (2009–2012)	**B** Brexit vote (2016)
C COVID-19 (2020–2022)	**D** Cost-of-living crisis (2022–2024)

A. EURO-ZONE SOVEREIGN DEBT CRISIS

Greek debt crisis started late 2009 when incoming government declared inability to meet debt obligations.

Crisis spread to PIIGS (Portugal, Italy, Ireland, Greece, Spain), all suffering significant increases in risk premia on sovereign borrowing.

AUSTERITY MEASURES

Conservative-Liberal Democrat coalition came to power after 2010 election.

Chancellor George Osborne announced austerity package in June 2010, reversing Labour's expansionary fiscal stance.

STATED AIM

Lower UK's debt:GDP ratio to avoid fate of PIIGS

OUTCOME

Public debt:GDP continued growing until modest decline 2017–2019

DEBT:GDP TRAJECTORY

1. **2000**
   33% debt:GDP ratio
2. **PRE-CRISIS 2007**
   40% ratio
3. **END OF 2009**
   70% ratio after sharp rise
4. **POST-2010**
   Continued growth despite austerity

Source: ONS

CRITICISM OF AUSTERITY

> New Keynesian economists such as Paul Krugman (2008 Nobel Prize) and Simon Wren-Lewis (Oxford) argued that fragile recovery following deep recession is not the time to balance books but to borrow for public investment.

Economic recovery dipped in 2011 (1.1% growth), supporting critics' concerns.

BOE RESPONSE TO EURO CRISIS

Bank of England managed both economic recovery and inflation targeting whilst fiscal policy contracted.

01

QE2 & QE3

October 2011–July 2012: £175bn additional asset purchases

02

POLICY RATE

Maintained at 0.5%

03

FUNDING FOR LENDING SCHEME

Launched August 2012 to increase bank lending to retail borrowers

FUNDING FOR LENDING SCHEME

FLS provided medium-term loans at low interest rates to commercial banks and building societies.

Loans tied to intermediaries lowering their own lending rates on mortgages and SMEs.

COMPLEMENTING QE

QE places liquidity with investment firms lending to large corporations. FLS targets households and SMEs.

DEPARTURE FROM INFLATION TARGETING

OCTOBER 2011

QE2 announced

SEPTEMBER 2011

Annualised inflation: 5.2%

POLICY CHOICE

QE2 conducted despite >3% inflation

This implied a clear departure from strict inflation targeting, prioritising economic recovery.

MARK CARNEY AND FORWARD GUIDANCE

Appointed Governor in July 2013. Initiated forward guidance: offering markets a likely path for policy rates based on macroeconomic indicators.

Forward guidance aims to reassure markets that interest rate changes will not be arbitrary or sudden.

REAL SECTOR FOCUS

Carney's forward guidance made clear that real sector objectives would determine monetary policy conduct.

Inflation had declined from 2012 peak and was within target. Growth increased to 1.9% (strongest post-recession performance).

7% THRESHOLD

Rates would rise only if unemployment fell below 7%

PROJECTION

Expected 2016, occurred early 2014

RECOVERY PERIOD: 2014–MID 2016

Economy appeared well on path of recovery with real GDP growth approaching 3%.

1

GROWTH

Approaching 3% annually

2

UNEMPLOYMENT

Falling below 7%

3

INFLATION

Declining, even below 1% lower bound

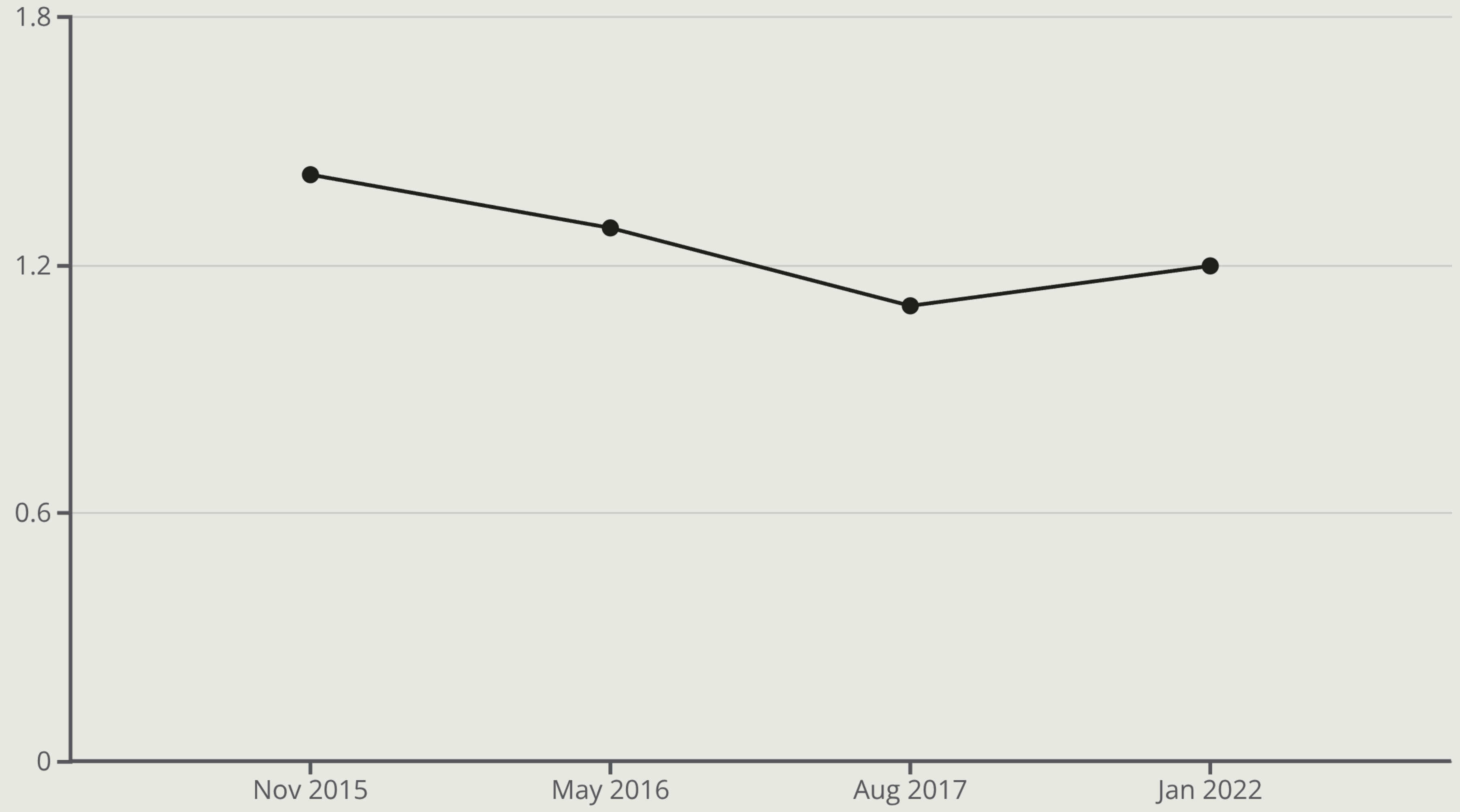
Carney abandoned 7% threshold and backed away from single-indicator forward guidance. Raising rates would have pushed inflation further below target.

B. THE BREXIT VOTE

Brexit had serious and long-lasting effects on the UK economy. Focus here is on immediate monetary policy implications.

Main immediate effect came through GBP depreciation.

STERLING DEPRECIATION



GBP declining since December 2015 due to referendum uncertainty. Slumped immediately after vote, bottoming at 1.10 EUR/GBP by August 2017.

BOE RESPONSE TO BREXIT

Sterling depreciation resulted in cost-push inflation. Inflation rose to annualised peak of 3.1% in November 2017.

AUGUST 2016: QE4

£70bn asset purchases, total balance sheet £445bn

RATE CUT

Policy rate cut to 0.25%, first change since 0.5% in Great Recession

TERM FUNDING SCHEME

Replaced FLS, offered loans up to 4 years maturity

BoE feared stagflation and loosened policy despite rising inflation because it was cost-push, not demand-driven.

C. COVID-19 PANDEMIC

-10.3%

GDP CONTRACTION 2020

Largest annual fall in 300 years (UK Treasury Budget Report, 2021)

5.1%

UNEMPLOYMENT END-2020

Did not rise commensurately due to furlough scheme

FISCAL AND MONETARY RESPONSE

FISCAL POLICY

Treasury support: £310bn–£410bn across furlough payments, business support, capital investments.

MONETARY POLICY (MARCH 2020)

- Policy rate cut to 0.1% (all-time low)
- QE5: £450bn asset purchases (total £895bn)
- Term Funding Scheme revived with SME emphasis

Inflation stayed low through pandemic due to suppressed demand from lockdowns.

D. COST-OF-LIVING CRISIS

Ending of lockdown restrictions (April 2021) led to rapid recovery: 8.6% average growth in 2021.

1. **MARCH 2021**
   Annualised CPI: 0.7%
2. **APRIL 2021**
   Jump to 1.5%
3. **AUGUST 2021**
   Reached 3.2%
4. **OCTOBER 2022**
   Peak of 11.1%
5. **APRIL 2023**
   Returned to target: 2.3%

DRIVERS OF COST-OF-LIVING CRISIS

FOOD & BEVERAGES

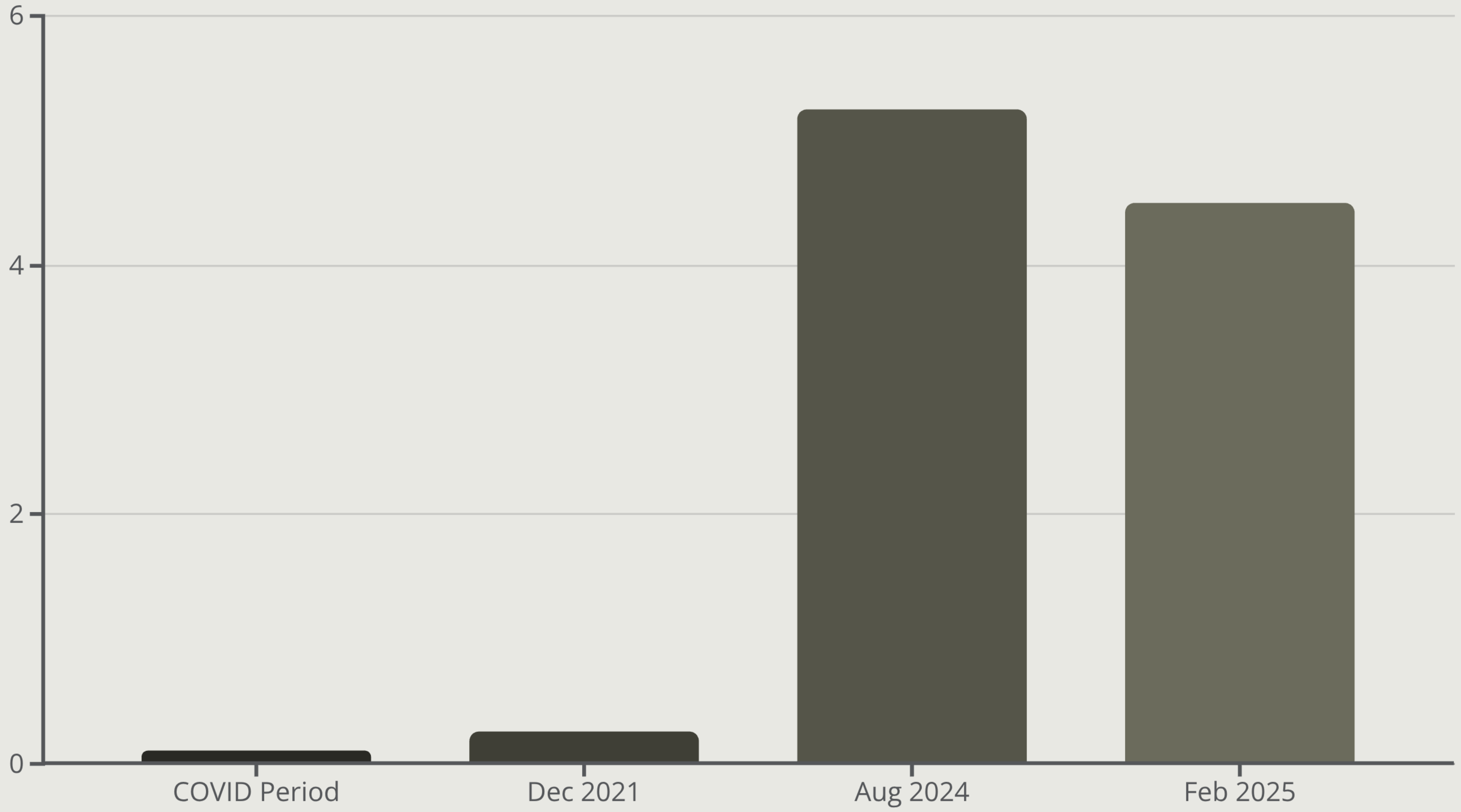
18.2% inflation rate

HOUSING & HOUSEHOLD SERVICES

11.8% inflation. Energy: electricity +66.7%, gas +129.4%

Causes: (1) Increased post-lockdown consumer spending (demand-pull); (2) Ukraine war disrupting oil, gas, wheat supplies (cost-push); (3) Rising oil and gas prices (cost-push).

BOE RESPONSE: RATE INCREASES



Gradual but consistent rate increases every two months from December 2021. Peak of 5.25% in August 2024. Now unwinding: 0.25% cuts every few months to current 4.5%.